STATEMENT OF ADVICE

Financial Planning Strategy

Prepared for:

Barry and Janice Gardner

Of

1 Ranoch Court

RIDDELLS CREEK VIC 3431

Prepared on:

6th December 2021

By your Adviser:

Andrew Lord *B Bus (Acc), Dip FS (Fin Plan)*

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What this document is about

This Statement of Advice (or SoA) is an important document.

- It provides you with information about our advice so you can make a decision about implementing the advice.
- It should be read in conjunction with other documents such as Product Disclosure Statements and our Financial Services Guide.

What to do after reading this Statement of Advice

Please contact us.

- If you have any questions.
- If we have omitted, overlooked or incorrectly understood any of your relevant circumstances.
- When you are ready to implement the recommendations.
- Or, if you decide you want to do something else and need our advice or assistance.

6/12/2021

Barry and Janice Gardner
1 Ranoch Court
Riddells Creek VIC 3431

Dear Barry and Janice,

I am pleased to enclose your Statement of Advice (SoA).

It is an important document that you should read and understand before making a decision to proceed further.

We have based the strategies and recommendations in this document on our understanding of your current personal and financial position. If any of this information does not reflect any part of your current position, goals and objectives please advise us immediately and we will make the necessary changes.

The SoA sets out our recommended strategies to address your needs, together with a recommended course of action to implement these strategies.

When you are ready to proceed, we would be very happy to help you with the implementation of the advice, including the completion and lodgement of application forms and other documents.

Please note, our recommendations in this Statement of Advice are valid for 30 days from the date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don’t act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation again before you take any action.

Once implemented, we should review your situation on a regular basis to ensure we make the most of any changes that may impact on the strategies I have recommended for you.

Yours sincerely,

Andrew Lord
B Bus (Acc), Dip FS (Fin Plan)
Authorised Representative No 324798 of
Pareto Group Pty Ltd

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Purpose of this document

The following Statement of Advice (SoA) is an outline of the financial plan discussed with your financial planner. It details the recommendations needed to execute your plan and achieve your financial objectives.

Timeframe for our advice

Our recommendations in this SoA are valid for 30 days from the preparation date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation before taking any action.

Check for accuracy

This SoA is based on the information you provided. Please read the document carefully, checking that your details are correct and that no important facts are missing. If anything is wrong or missing, please let us know immediately—otherwise our advice may be based on incorrect information and may not be right for you.

Limitations of our advice

We cannot give advice on:

- Trust or business structures
- Taxation
- General insurance
- Direct share or property purchases
- Legal matters

Please don't consider any of this document's recommendations to be advice in any of these areas. If you need advice in these areas, please see a qualified professional in that field.

Assumptions we've made

When giving advice, we make certain assumptions to demonstrate how the advice could affect your financial situation. We've based our advice on economic information and legislation that was current when we prepared your SoA.

All dollar amounts in this SoA are in today's dollars, even when we mention future income, expenses, investment amounts and so on. Naturally we can't predict what future inflation rates will be, so we can only make assumptions based on past trends. Also, all amounts listed in this document are "p.a." (per annum) unless otherwise stated or implied.

Product selection

We are committed to giving you the best products for your situation. When preparing your advice, we considered and recommended only those products on Pareto Group's "Approved Product List". This list was compiled by a dedicated Investment Review Committee, which regularly reviews it. To see the complete product list, please ask us.

Introduction

You are entitled to receive a Statement of Advice (SoA) whenever we provide you with any personal financial advice. Personal financial advice is advice that takes into account any one or more of your objectives, financial situation and needs.

This SoA is a record of the personal financial advice provided to you and includes information on the basis on which this advice is given, information about remuneration including fees, any other benefits and any interests, relationships or associations which might influence the making of the advice.

If this advice includes a recommendation to you to acquire a particular financial product (other than securities) or an offer to issue or arrange the issue of a financial product to you, we will also provide you with a Product Disclosure Statement containing information about the particular product to help you make an informed decision about that product.

The Scope of Our Advice

In this statement of advice, the main focus is on:

- Structure and ownership of current and future investments
- Superannuation contribution strategies
- Superannuation structure
- Overall retirement planning

This advice is based on information we have obtained from you. You must ensure the information is accurate and complete. Otherwise, this advice may be based on inaccurate or incomplete information relating to your investment objectives, financial situation or needs. You must therefore assess whether the advice is appropriate, in the light of your own individual investment objectives, financial situation or needs.

You recognise in each of the areas of advice we provide, we only provide advice to the extent we are able to under the relevant legislation.

Our Investment Recommendations

In respect of the specific investments, we recommend as part of our advice you are entitled to a 14-day cooling off period for your initial investment. A cooling off period generally means a period of time after which you have provided your capital for investment, where you can change your mind and request for your capital to be returned to you.

Each fund manager or investment provider may implement the cooling off period in a slightly different manner. Therefore, we recommend you refer to the Product Disclosure Statement for each of the recommended investments in order to understand the operation of each provider's cooling off period.

Your Adviser

At any time should you have any questions or concerns, in the first instance please contact your adviser Andrew Lord on (03) 9596 5111.

Andrew Lord is authorised to represent Pareto Group Pty Ltd. Should you wish to discuss matters of concern about your adviser or the advice you have received please contact us on 03 9596 5111.

The Planning Process

Barry and Janice, *Financial Planning* is a process to help you reach both your Personal and Financial Goals and Objectives. In order to achieve this, we jointly need to undertake a number of tasks, including:

- ✓ Confirm your personal goals and lifestyle objectives;
- ✓ Quantify the resources required to meet your goals and objectives;
- ✓ Identify any gaps in your current plans and your stated goals and objectives;
- ✓ Develop suitable strategies to address any differences that may exist bearing in mind your attitude to investing and your risk profile;
- ✓ Conduct a regular review of the strategies we put into effect to ensure they keep pace with your changing needs, legislative changes and the investment environment.

Executive Summary

In this plan our advice considers the following areas of your financial circumstances.

Your Goals and Objectives

After our discussions I have listed below what we agreed were your key goals and objectives. The points listed below form the basis of the plan I have prepared, and therefore you should read them carefully now to ensure that we have an accurate foundation on which to proceed. If there are any modifications required, please advise us prior to the commencement of your financial plan.

Your goals and objectives are to:

- Explore ways in which to maximise your retirement nest egg as you move into the final phase of your working life
- Review your superannuation portfolio to determine appropriate strategies and structure moving forward.
- Explore options as to the best use of your surplus cash.
- Place your current and future assets under the most tax effective ownership structure.
- Consider appropriate superannuation contribution strategies.
- Assess appropriate strategies to transition to retirement in the most tax effective manner.
- Ensure you have sufficient cash flow in retirement.

Personal Information

During our discussions and from the information you have provided, your Personal Details can be summarised as follows:

Personal Details

Title	Mr	Mrs
First Name	Barry	Janice
Surname	Gardner	Gardner
Gender	M	F
Date of Birth	25/02/1955	18/11/1952
Age Last Birthday	66	69
Marital Status	Married	Married

Employment Details

Employment Status	Full Time	Part Time
Occupation	Mechanic	
Employer	Gardner Automotive (self-employed)	Gardner Automotive

Estate Planning

	Barry	Janice
Do you have a Current Will?	No	No
Do you have Current Powers of Attorney?	No	No
Do you have a Testamentary Trust?	No	No

Current Assets and Liabilities

The following is an Asset and Liabilities summary that estimates your current Net Worth position based on the information provided.

ASSETS

Lifestyle Assets	Value
Riddells Creek residential property	$1,000,000
Total Lifestyle Assets	**$1,000,000**

Investment Assets	Value
Mulwalla holiday house	$700,000
Direct share portfolio	$500,000
Cash at bank (from sale of Mulwalla factory)	$300,000
Cash at bank (Janice)	$300,000
Total Investment Assets	**$1,850,000**

Superannuation Assets	
Barry	
ARC Super Plan – Mercer Super Trust	$358,038
Janice	
ARC Super Plan – Mercer Super Trust	$303,376
Total Superannuation Assets	**$661,414**

Total ASSETS	**$3,511,414**

LIABILITIES

Mt Evelyn residential property loan (used predominantly for business purposes)	$200,000
Total Liabilities	**$200,000**

NET WORTH	**$3,311,414**

Notes: As the above information has been used in preparing our recommendations, please advise us of any errors or omissions. The 'Total' column indicates the value of assets and liabilities which are owned by you. This report does not show the value of any portion of the asset or liability that may be owned by a third party or associated entity.

Your Investor Risk Profile

The following section of your plan helps to ensure that I clearly understand your attitude to investment selection. Additionally, investments contain various characteristics, which may or may not suit each individual investor.

Based upon your responses to the Risk Profile Questionnaire, it was determined that **Barry** has a **Balanced** investor risk profile, whilst **Janice** has a **Moderately Conservative** investor risk profile in regard to investments inside superannuation.

Typically, a **Balanced** investor has the following characteristics:

- The Balanced investor will typically operate a portfolio evenly split between interest bearing securities and growth-oriented investments.
- An exposure to a range of investment sectors including cash, fixed interest, property and shares ensures the portfolio is “truly” balanced.
- Investors are typically comfortable with a variability of their capital over a 5-year horizon while their portfolio builds a growing income stream and capital growth.

A **Balanced** investor will typically diversify their investment in the following manner:

Australian Shares	34%
International Shares	20%
Fixed Interest	26%
Property	14%
Cash	6%

The **Moderately Conservative** investor seeks a diversified portfolio with a balance of defensive and growth assets.

This requires an investment time horizon of between 3 – 5 years.

The portfolio would include a high portion of income bearing securities such as cash and fixed interest, with a small exposure to equities and property providing appreciation potential.

A **Moderately Conservative** investor will typically diversify their investment in the following manner:

Australian Shares	24%
International Shares	14%
Fixed Interest	38%
Property	10%
Cash	14%

Our research indicates that long term returns will be best achieved through a diversified portfolio covering all major asset classes (i.e. Cash, Fixed Interest, Shares and Property). By covering all primary investment markets, the risks and volatility of your investments can be managed to levels consistent with your investment profile, whilst maintaining the potential for long term growth. Any recommendation will be based on your risk tolerance, while in balance with your goals and objectives.

Strategy Recommendation

Tax Rates

When assessing the most tax effective environment for your investment assets, we need to consider the tax that would be payable on any income that these investments will generate. The current tax rates are as follows:

Income Earned in your personal name

Tax rates 2021-22

Taxable income	*Tax on this income*
$1 – $18,200	Nil
$18,201 – $45,000	19c for each $1 over $18,200
$45,001 – $120,000	$5,092 plus 32.5c for each $1 over $45,000
$120,001 – $180,000	$29,467 plus 37c for each $1 over $120,000
$180,001 and over	$51,667 plus 45c for each $1 over $180,000

* The above rates **do not** include the Medicare levy of 2.0%.

Income Earned in the superannuation environment

Superannuation in 'accumulation' phase - Tax rate = 15%

Superannuation in 'pre-retirement pension' phase - Tax rate = 15%

Superannuation in 'allocated pension' phase - Tax rate = 0%

Tax on superannuation earnings, contributions and income streams

	Non-superannuation	Super accumulation and pre-retirement pension phase	Super allocated pension phase
			After age 60
Salary/pension income	Marginal tax rate **(max 45% + medicare)**	n/a	**Tax free**
Super contributions (SGC, salary sacrifice)	n/a	**15%**	n/a
Investment income	Marginal tax rate **(max 45% + medicare)**	Maximum 15%	**Tax free***
Capital gains	**Marginal tax rate** (50% discount if held for more than 12 months)	**10%** (15% if asset held less than 12 months)	**Tax free***

Superannuation Contribution Limits

Table 1- Concessional contribution limits

Concessional contributions include employer and self-employed contributions such as salary sacrifice, superannuation guarantee and personal concessional contributions.

Date	Limit (per annum)				
	To Age 49	Age 50-59	Age 60-67	Age 68-74*	Age75 and over
From 1 July 2012	$25,000	**$25,000**	**$25,000**	**$25,000**	SGC only
From 1 July 2013	$25,000	**$25,000**	**$35,000**	**$35,000**	SGC only
From 1 July 2014	$30,000	**$35,000**	**$35,000**	**$35,000**	SGC only
From 1 July 2017	$25,000	**$25,000**	**$25,000**	**$25,000**	SGC only
From 1 July 2021	$27,500	**$27,500**	**$27,500**	**$27,500**	SGC only

*Must be employed at least 40 hours during any consecutive 30-day period in the financial year you would like to make the contributions.

Concessional Contributions were previously known as Deductible Contributions (e.g. Salary Sacrifice).

Table 2 - Non-concessional contribution limits

Date	Limit on after-tax contributions	Eligibility Requirements		
		Under age 67	Age 67 to 74	Age 75 and over
From 1 July 2007	$150,000 p.a.	May bring forward two years of contributions to make a $450,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2014	$180,000 p.a.	May bring forward two years of contributions to make a $540,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2017	$100,000 p.a.	May bring forward two years of contributions to make a $300,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2021	$110,000 p.a.	May bring forward two years of contributions to make a $330,000 contribution in one financial year	Must be employed	Cannot contribute

Concessional Superannuation Contributions Carry Forward

Barry and Janice, the concessional superannuation contribution cap in previous years was $25,000 per annum. In the 2021/22 financial year, this cap has increased to $27,500 p.a.

Carry Forward Concessional Contributions:

- If you have a total superannuation balance below $500,000 you can carry forward any unused concessional contributions cap amounts that accrue from 1 July 2018 for up to five financial years. This allows eligible members who do not use all of their concessional cap in a particular financial year, to carry forward their unused concessional cap amounts to future years.
- To be eligible to make catch-up concessional contributions in a year, you must meet the following conditions:
    - have a 'total superannuation balance' of less than $500,000 as at 30 June at the end of the financial year immediately preceding the financial year in which the concessional contribution is to be made
    - have previously unused concessional contributions cap amounts that have accrued in one or more of the five financial years preceding the year in which the concessional contribution is made.

- **Barry**, the following concessional contributions have been made to your superannuation fund in recent years:

Financial Year	Barry	Total Allowable Contributions
2018/19	$5,808	$25,000
2019/20	$6,026	$25,000
2020/21	$2,082	$25,000
2021/22	$0	$27,500
TOTAL	**$13,916**	**$102,500**

- You therefore have a total of **$88,584** in concessional contributions available to you this financial year. This includes 'carry forward' contributions from the 2018/19, 2019/20 and 2020/21 years totalling **$61,084**.

- **Janice**, the following concessional contributions have been made to your superannuation fund in recent years:

Financial Year	Barry	Total Allowable Contributions
2018/19	$6,521	$25,000
2019/20	$5,589	$25,000
2020/21	$2,082	$25,000
2021/22	$0	$27,500
TOTAL	**$14,192**	**$102,500**

- You therefore have a total of **$88,308** in concessional contributions available to you this financial year. This includes 'carry forward' contributions from the 2018/19, 2019/20 and 2020/21 years totalling **$60,808**.

Barry and **Janice**, as your respective superannuation balances are less than $500,000 you are eligible to make 'catch up' concessional contributions.

However, if your taxable income is below $45,000 this places you in a relatively low tax bracket. Therefore, there is no significant benefit for you to make any 'catch up' contributions.

Personal Concessional Contributions to Superannuation

Recommendation:

Barry and Janice, if your taxable income is anticipated to be greater than $45,000, consider making salary sacrifice or personal concessional contributions to superannuation up to the maximum limit each year.

Benefits:

- Personal concessional contributions are made with pre-tax dollars and therefore you will receive a reduction in taxable income for the contributions that you make.
- Your personal concessional contributions will be taxed at a maximum of 15% compared to marginal tax rates if taken as income.
- You have increased your combined NET superannuation contributions to build a capital base to meet your retirement income goals.

Investments Currently Outside of Superannuation

- You currently have total cash at bank of approximately $600,000.
- You seek advice with respect to the best use of these funds.

Recommendation:

- In light of the fact that superannuation is a tax effective environment to hold investment assets, we recommend to make superannuation contributions based on the following timeline (these contributions remain within the contribution caps detailed in the 'Superannuation Contribution Limits' section):

Who	Timing	Type of contribution	Amount
Barry	Pre 30/06/22	Non-concessional	$330,000
Janice*	Pre 30/06/22	Non-concessional	$110,000
Total			**$440,000**

* Janice must meet the 'work test' (see below) to be able to make this contribution

Benefits:

- Any assets held within the fund are effectively being held in the most tax effective environment.
- The returns on balances held within superannuation and invested should be higher than the current returns on cash held in bank deposits.

Risks:

- Superannuation benefits are subject to market returns and earning rates are not guaranteed.

Work Test

The work test must be satisfied in order for the trustee of a super fund to accept member contributions or voluntary employer contributions if the member is age 67 or over at the time of the contribution, but is under the maximum age for that type of contribution.

A member satisfies the work test if they have been gainfully employed for at least 40 hours in a period of not more than 30 consecutive days in the financial year.

Superannuation Contributions v Debt Repayment

You have a loan against your residential property with a current balance of approximately $200,000. This has been used predominantly for business purposes.

Recommendation:

As a starting point, you may be better served moving cash currently held at bank into superannuation as per the suggested contributions previously detailed.

Once these contributions have been made, any surplus cash may be used to reduce your existing debt.

Basis of Recommendation:

- The growth rate within superannuation is anticipated to exceed the interest you will incur on the borrowed funds (predominantly due to record low interest rates currently available).

Superannuation – Pension Phase and Retirement Income Streams

Barry and **Janice**, current legislation allows you (as you have reached preservation age) to commence an income stream with your superannuation monies via an Allocated Pension. From age 60, all income received from this income stream is tax free.

All income on the amount funding the income stream is tax free as opposed to being taxed at 15% when in accumulation phase.

The minimum pension amount that you must draw is 5% per annum and there is no maximum amount.

Recommendations:

- Consider moving your superannuation from 'accumulation' to 'pension' phase, should you require the ability to draw a tax-free income to meet your living costs.

Benefits:

- The income stream assists in meeting your cash flow requirements in a tax effective manner.

Superannuation Funds

Barry and Janice, you currently have the following approximate superannuation balances:

Barry

- ARC Super Plan – Mercer Super Trust $358,038

Janice

- ARC Super Plan – Mercer Super Trust $303,376

TOTAL **$661,414**

Recommendations:

- Roll across these superannuation monies to a more actively managed wholesale 'master trust' superannuation accumulation platform.

Investments Within Superannuation

ARC Super Plan – Mercer Super Trust – Account Number 10419 (Barry)

Barry, you have a superannuation fund with Mercer Super Trust invested across the following investment options:

Investment Option	% of Portfolio
ARC Growth	24%
ARC Moderate Growth	22%
ARC Australian Shares	54%
	100%

The overall asset allocation of this portfolio is:

Asset Class	% of Portfolio
Australian Shares	67%
International Shares	11%
Property	4%
Fixed Interest & Cash	18%
	100%

Current Mercer Super Portfolio Profile Compared to 'Balanced' Benchmark

Asset Class	Current Portfolio	Benchmark Profile for Balanced Portfolio	Deviation
Australian Shares	67%	34%	+33%
International Shares	11%	20%	-9%
Property	4%	14%	-10%
Fixed Interest & Cash	18%	32%	-14%

ARC Super Plan – Mercer Super Trust – Account Number 10446 (Janice)

Janice, you have a superannuation fund with Mercer Super Trust invested across the following investment options:

Investment Option	% of Portfolio
ARC Growth	24%
ARC Moderate Growth	22%
ARC Australian Shares	55%
	100%

The overall asset allocation of this portfolio is:

Asset Class	% of Portfolio
Australian Shares	67%
International Shares	11%
Property	4%
Fixed Interest & Cash	18%
	100%

Current Mercer Super Portfolio Profile Compared to 'Moderately Conservative' Benchmark

Asset Class	Current Portfolio	Benchmark Profile for Balanced Portfolio	Deviation
Australian Shares	67%	24%	+43%
International Shares	11%	14%	-3%
Property	4%	10%	-6%
Fixed Interest & Cash	18%	52%	-34%

Recommendations:

- Barry, rollover your existing Mercer Super Trust account into the recommended ***Wholesale*** Colonial platform, invested in a Balanced profile.
- Janice, rollover your existing Mercer Super Trust account into the recommended ***Wholesale*** Colonial platform, invested in a Moderately Conservative profile.
- All future contributions will be directed to the recommended platform.

Benefits:

- **A reduction in the total amount of fees incurred when you roll the balance of your existing fund to the recommended super fund.**
- **Your capital is invested inside the superannuation environment consistent with your respective risk profile and structured in a more actively managed portfolio**
- A sector specific asset allocation strategy takes advantage of expert fund managers who specialise in that single sector.
- You will have access to a wide range of investment options which cannot be accessed in your current funds.
- The recommended wholesale fund platform has a wide range of investment options with access to more than one specialist manager within each asset class.
- The recommended wholesale fund platform allows for ongoing monitoring and management of the fund's performance and asset allocation.
- **You will continue to receive ongoing advice from us as your financial adviser as we will have full access to information relating to the recommended superannuation fund. This will enable us to provide thorough and timely advice to you.**

Risks:

- The recommended investment's performance is subject to market fluctuations.
- Investment performance is not guaranteed.

Your respective investments in the Colonial First State platform would have a specifically modelled portfolio directly in line with your Investor Risk Profiles. The specific underlying funds that make up your individual portfolios would be:

Barry

Colonial First State Wholesale Personal Super – 'Balanced' portfolio

	% of portfolio
First Sentier Wholesale Aust. Small Companies	10%
Colonial First State Wholesale Index Australian Share	24%
Colonial First State Wholesale Index Global Share	20%
Colonial First State Wholesale Index Property Securities	14%
Perpetual Wholesale Diversified Income	26%
First Sentier Wholesale Cash Fund (Strategic Cash)	6%
	100.00%

Performance of the Colonial First State Balanced Portfolio at 31/10/2021

	% of portfolio	1 year	3 years p.a.	5 years p.a.
First Sentier Wholesale Aust. Small Companies	10%	33.35%	20.13%	14.86%
Colonial First State Wholesale Index Australian Share	24%	25.66%	11.63%	10.54%
Colonial First State Wholesale Index Global Share	20%	27.56%	14.27%	14.09%
Colonial First State Wholesale Index Property Securities	14%	26.94%	8.75%	7.82%
Perpetual Wholesale Diversified Income	26%	2.64%	2.13%	2.46%
First Sentier Wholesale Cash Fund (Strategic Cash)	6%	0.12%	0.67%	1.04%
	100.00%	**19.47%**	**9.48%**	**8.63%**

Janice

Colonial First State Wholesale Personal Super – 'Moderately Conservative' portfolio

	% of portfolio
First Sentier Wholesale Aust. Small Companies	8%
Colonial First State Wholesale Index Australian Share	16%
Colonial First State Wholesale Index Global Share	14%
Colonial First State Wholesale Index Property Securities	10%
Perpetual Wholesale Diversified Income	38%
First Sentier Wholesale Cash Fund (Strategic Cash)	14%
	100.00%

Performance of the Colonial First State Moderately Conservative Portfolio at 31/10/2021

	% of portfolio	1 year	3 years p.a.	5 years p.a.
First Sentier Wholesale Aust. Small Companies	8%	26.76%	11.74%	11.31%
Colonial First State Wholesale Index Australian Share	16%	33.35%	20.13%	14.86%
Colonial First State Wholesale Index Global Share	14%	25.66%	11.63%	10.54%
Colonial First State Wholesale Index Property Securities	10%	27.56%	14.27%	14.09%
Perpetual Wholesale Diversified Income	38%	26.00%	11.35%	9.24%
First Sentier Wholesale Cash Fund (Strategic Cash)	14%	26.94%	8.75%	7.82%
	100.00%	**14.35%**	**7.25%**	**6.71%**

Benefits:

- A sector specific asset allocation strategy takes advantage of expert fund managers who specialise in that single sector.
- You will have access to a wide range of investment options which cannot be accessed in your current funds.
- The alternative wholesale fund platform has a wide range of investment options with access to more than one specialist manager within each asset class.
- The alternative wholesale fund platform allows for ongoing monitoring and management of the fund's performance and asset allocation.
- You would continue to receive ongoing advice from us as your financial adviser as we will have full access to information relating to the recommended superannuation fund. This will enable us to provide thorough and timely advice to you.

Replacement of an Existing Product

Barry

Type of Fee or Cost	ARC Super Plan – Mercer Super Trust	Colonial Wholesale Super Fund
Contribution/Entry fee – this is the fee for initial and subsequent contributions.	Nil	Nil
Withdrawal/Exit Fee – this is the fee for each withdrawal you make	Nil	Nil
Switching Fee – fee charged for switching between investment options in the super fund.	Nil	Nil
Administration Costs – are the fees and costs that cover the operation of the fund. They include admin, member and other fees charged by the product issuer	Admin. Fee 0.658% p.a.	Nil
Adviser Service Fee – additional fee paid to financial adviser	Nil	$1,800 p.a.
Investment Costs – are the fees and costs the product issuer charge for investing the assets. These include fees paid to external fund mgrs.	0.68% p.a.	0.56% p.a.
Annual average cost - Total $358,178 investment	**$4,792 p.a.**	**$3,806 p.a.**

Outcomes Post Implementation - Barry:

- Barry, the sum of your total ongoing management and administration fees will **decrease** by proximately **$986 PER ANNUM**.

Janice

Type of Fee or Cost	ARC Super Plan – Mercer Super Trust	Colonial Wholesale Super Fund
Contribution/Entry fee – this is the fee for initial and subsequent contributions.	Nil	Nil
Withdrawal/Exit Fee – this is the fee for each withdrawal you make	Nil	Nil
Switching Fee – fee charged for switching between investment options in the super fund.	Nil	Nil
Administration Costs – are the fees and costs that cover the operation of the fund. They include admin, member and other fees charged by the product issuer	Admin. Fee 0.658% p.a.	Nil
Adviser Service Fee – additional fee paid to financial adviser	Nil	$1,800 p.a.
Investment Costs – are the fees and costs the product issuer charge for investing the assets. These include fees paid to external fund mgrs.	0.68% p.a.	0.59% p.a.
Annual average cost - Total $303,627 investment	**$4,063 p.a.**	**$3,594 p.a.**

Outcomes Post Implementation - Janice:

- Barry, the sum of your total ongoing management and administration fees will **decrease** by proximately **$472 PER ANNUM**.

Superannuation Estate Planning

Superannuation does not automatically form part of a person's estate. A member can, however, elect to include their super death benefit in their estate by completing a binding and/or non-lapsing death benefit nomination in favour of their estate. In this way, the member can provide for the distribution of their super death benefit in accordance with their Will.

Barry and **Janice**, you currently have nominated each other as the beneficiaries for your respective superannuation funds

Recommendation:

- Once your Wills are in place, to ensure your superannuation monies are linked to these, change the nominations on your respective superannuation funds to Binding Death Benefit Nominations to your Estate.

Estate Planning

Although considerable emphasis is placed on wealth creation and protection, a third vital aspect of your financial strategy is the control of the manner in which your wealth will be distributed after your death.

The expression "Estate planning" represents the concept of the planning and documentation of your wishes for the distribution of your wealth following death, whether the assets are held personally or controlled by related entities such as trusts or companies.

Estate planning is a specialised area, and it is important that you obtain professional advice in relation to all areas of your estate plan. However, we outline below some of the issues you should consider in designing your estate plan.

Wills and Testamentary Trusts

A Will is the first step in ensuring that the distribution of your estate is actioned in accordance with your wishes. If you die without a Will (intestate), it may be that a court will control both the manner of distribution of your estate and the persons to whom your estate is distributed, and this can cause unnecessary distress.

Neither of you currently has a Will in place.

Recommendation:

- **We have an arrangement with Lakeside Lawyers Pty Ltd who can assist with the implementation of an appropriate Will as soon as possible.**

It is important to ensure your Will:

- Nominates executors (and substitute executors) who are likely to survive you and who clearly understand your wishes.
- Nominates beneficiaries in relation to every segment of your estate and nominates alternative beneficiaries should your primary beneficiaries predecease you.
- Bequeaths monetary value or a percentage of your estate rather than a specific asset, as there is the risk that an asset may not be in existence at the time of distribution of the estate.
- Includes provision for the establishment of a testamentary trust, which can be a tax effective tool for distributing your estate.

Benefits:

- Peace of mind, knowing all your wishes are detailed to be carried out, and plans articulated for your immediate family to be adequately provided for in the event of your death.
- If your Will incorporates a testamentary trust, your assets would pass into a discretionary trust (or multiple trusts) and be held for the benefit of your beneficiaries, (rather than directly by them).
- This could be determined on an annual basis having regard to each beneficiary's personal income and taxation circumstances (importantly, income distributed from a testamentary trust to minors is taxed at normal adult marginal tax rates), as well as family circumstances (assets held within a testamentary trust may provide some protection in the event of family breakdown or bankruptcy).

Non-Estate Assets

It is important your estate planning arrangements incorporate your entire asset base.

Recommendation:

- **We recommend you consult an approved legal practitioner. We have an arrangement with Lakeside Lawyers Pty Ltd who will be able to assist you with this.**

Although a Will constitutes a vital part of your estate planning arrangements, not all of your assets are automatically subject to the provisions of a Will. Examples of such 'assets' are as follows:

- Superannuation assets – the Trustee of a superannuation fund is required to distribute your superannuation monies (including any life insurance benefits paid as a result of the death of the member) in accordance with the Trust Deed. You usually have the option of informing the Trustee of your preferences in relation to the distribution of your funds, but this may or may not be binding on the Trustee.
- Jointly held assets – if assets are held as 'joint tenants', then upon the death of one of the owners the asset automatically passes in full to the other owner (no matter what is said in the Will of the deceased co-owner). On the other hand, assets held as 'tenants in common' are able to be disposed of as part of a Will.
- Life insurance policies – depending on the ownership of the policy, benefits can be paid to the following - the deceased's estate and therefore distributed through their Will (when the owner of the policy is also the insured person) - a person who has been nominated as the beneficiary of a policy by the deceased owner (in which
- case the beneficiary automatically receives the proceeds of the policy) - or any third party who owns the policy.
- Assets owned by a Trust – these assets are legally owned by the Trustee of the Trust and therefore are not able to be dealt with through a person's Will.

(Note: In recent times, the use of Trusts as an estate planning vehicle has become wide spread and your solicitor or other business adviser should be consulted if you wish to exercise a measure of control over the way in which Trust assets are managed or distributed. For example if a company acts as trustee for a Trust, you may retain an interest in the company and therefore the trust by owning shares in that company.)

- Assets owned by a company – only the deceased's shares in the company may be dealt with through their Will.

Powers of Attorney

This element of your estate plan is designed to be implemented prior to your death so that your affairs can be conducted appropriately.

Neither of you currently have Powers of Attorney in place.

Recommendation:

- **We recommend you consult an approved legal practitioner to ensure they are prepared as soon as possible.**
- **We have an arrangement with Lakeside Lawyers Pty Ltd who will be able to assist you with this.**
- **We recommend you consult Lakeside Lawyers Pty Ltd for a review every three years.**

There are three 'standard' types of Power of Attorney:

- A general Power of Attorney which can provide the donee with restricted or unrestricted authority over the donor's financial affairs (but not their health care). Such a policy lapses if the donor loses mental capacity.
- An enduring Power of Attorney which provides the donee with authority over the donor's financial affairs (but not their health care) until they die (i.e. it extends beyond any loss of mental capacity).
- An enduring medical Power of Attorney which provides the donee with authority over the medical needs of the donor if the donor himself is unable to make such decisions (whether temporarily or permanently).

Note 1 - A Power of Attorney may only be granted by someone who is over the age of 18 and who is of sound mind at the time of the grant and capable of fully understanding the nature and purpose of the document they are signing.

Note 2 **- The attorney is not able to do anything illegal while operating under a Power of Attorney, nor is he/she able to sign a Will on behalf of the donor, or to transfer the Power of Attorney to someone else unless authorised to do so.**

Retirement Capital Projections

Barry and Janice, we have taken the liberty of providing superannuation retirement projections based on the following assumptions:

- Capital value of superannuation increases by 6.0% p.a.
- Capital value of share portfolio increases by 5.0% p.a.
- Capital value of holiday house increases by 4.0% p.a.
- Capital value of cash at bank remains unchanged.
- Living costs are drawn from cash reserves in the first instance and then superannuation once cash reserves are exhausted.
- Living costs of $52,000 increase with CPI of 2.5% each year.

Note: these projections are conservatively based on immediate retirement with no further income being generated from the business.

Scenario 1 – current situation

- Retain your existing superannuation and investment structure

Scenario 2

- Implement the superannuation contribution strategy documented on Page 17 of this Statement of Advice.
- Invest the funds under a master trust platform in 'Balanced' and 'Moderately Conservative' style portfolios respectively.

Retirement Projections

Under each of these scenarios we have calculated your projected superannuation capital position in 20 years' time (age 86 and 89 respectively).

A summary of these projections (after 20 years) is detailed in the following table:

Scenario	Value of superannuation capital	Value of investment capital outside superannuation	Total capital (excluding residential property)
1	$1,149,855	$2,877,859	$4,027,714
2	$1,658,593	$2,860,503	$4,519,096

A copy of the calculations used to derive the different outcomes detailed above is contained in the appendix at the rear of this Statement of Advice.

What is paid to your adviser

Plan Fee

You have agreed to a Plan Fee of $3,500+GST, which will be invoiced to you.

Upfront and Ongoing Fee Disclosure

An Adviser Service Fee of $1,800 p.a. will apply to any Colonial FirstChoice investments implemented.

The agreed Ongoing fee is the way we charge for the ongoing service that we provide. If at any time you wish to discuss this you can do so.

I am an authorised representative of Pareto Group Pty Ltd (ABN 11 155 278 078), which holds an Australian Financial Services Licence (AFSL #418700).

Disclosure Statement

To help you understand the full benefits, details and risks of our recommended products, please read the Product Disclosure Statements that we will provide you.

Please let us know if you have any questions.

Cooling-off periods

After investing in a financial product, you have a "cooling-off" period in which to change your mind if you don't think the product meets your needs. The cooling-off period usually starts when you're told the product has been set up. The length of the period varies with each product.

Each Product Disclosure Statement explains your cooling-off rights.

If you wish to cancel a product, please tell us in writing so we can contact the product issuer within the time restrictions.

No guarantee

The investments we recommend for you must be appropriate for you. However, we don't guarantee they're the best available or that they'll perform in a particular way. Product performance depends on the features and risks described in the Product Disclosure Statements given to you.

Please take the time to read the PDS and understand the products we have recommended. If you have any questions, please contact us.

Tax

There will be tax implications if you act on this advice. We recommend you ask a tax professional to assess the impact on your short and long-term financial positions.

Are My Product Recommendations Restricted?

Non-Superannuation Products

Yes, when making non-superannuation product recommendations I can only choose products from our Approved Product List (APL). This list is compiled by a dedicated Investment Committee, made up of Research Manager, Directors and Representatives who carefully analyse investment products, prior to including any product on the APL. The Committee utilises leading industry research houses to assist with their analysis.

The APL is regularly reviewed to ensure that all funds, managers and investment companies continue to meet our ongoing stringent requirements.

Superannuation Products

Yes, when making superannuation product recommendations I can only choose products from our Approved Product List (APL). However, if you have a superannuation product that is not on our APL, I am still able to make recommendations in relation to that fund providing I have conducted the necessary research and have a thorough knowledge of the fund.

What is My Responsibility to You?

I am responsible for providing you a 'clear, concise & an effective' method of communicating my recommendations to you. The recommendations are based on your goals and objectives, personal and financial situations, and other information collected from you. The recommendations are appropriate for your needs and current situation.

As the SoA is specifically prepared for you and based on your situation, I do not take any responsibility for any third-party persons acting on all or on a part of any advice or recommendations made in this SoA.

Do I Guarantee the Investments I have recommended?

No. By law, the investments I have recommended must be appropriate to you, however, I do not guarantee that the recommended investments are the best for you or that they will perform in a certain way.

Your Financial Plan

In preparing this plan we have taken into account your specific goals and objectives, and have designed an appropriate strategy that aims to accomplish these.

It is important to appreciate that we live in an ever-changing world. Accordingly, it is probable that, overtime, the basis of our calculations (inflation rates, investment rates etc) will change, as will your own requirements and expectations. It is therefore recommended you review your plan on a regular basis to ensure you are still on track to achieve investment objectives.

It is essential to have your investment portfolio reviewed to ensure that the investments are working to their maximum potential and any changes to the investment markets, taxation etc. are promptly and correctly responded to.

Next steps

How to get started

To implement our recommendations in this plan, please do the following:

- Make sure you read this Statement of Advice and Product Disclosure Statements (if applicable)
- Contact us if you have any questions
- Tell us immediately if any information is incorrect

Finally

Please note, as with any investments, their future value may fluctuate, particular rates of return cannot be guaranteed and you may not get back what you originally invested. We have provided a brief summary of the managed investment products recommended; however, you will need to study the investment statements of the recommended products carefully before you decide to invest.

Appendix A – Retirement Capital Projections